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APPLICANT	UCAPITAL – ULOAN SOLUTIONS INC.
RESPONDENT	CLEO ENERGY CORP.
	IN THE MATTER OF THE RECEIVERSHIP OF CLEO ENERGY CORP.
DOCUMENT	**SECOND REPORT OF ALVAREZ & MARSAL CANADA INC., IN ITS CAPACITY AS RECEIVER AND MANAGER OF CLEO ENERGY CORP.** **November 5, 2025**

Clerk's Stamp

ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT

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INTRODUCTION

1. On June 2, 2025, the Court of King's Bench of Alberta (the "**Court**") granted a receivership order (the "**Receivership Order**"), whereby, effective June 3, 2025 (the "**Receivership Date**"), Alvarez & Marsal Canada Inc. ("**A&M**") was appointed receiver and manager (the "**Receiver**"), without security, of all the current and future assets, undertakings and properties of every nature and kind whatsoever, and wherever situate, including all proceeds thereof (collectively, the "**Property**") of CLEO Energy Corp. ("**Cleo**" or the "**Company**"), pursuant to section 243(1) of the *Bankruptcy and Insolvency Act*, RSC 1985, c B-3 (the "**BIA**") and section 13(2) of the *Judicature Act*, RSA 2000 c J-2 (the "**Receivership Proceedings**").

2. Prior to the granting of the Receivership Order, on December 8, 2024, the Company filed a Notice of Intention to Make a Proposal pursuant to section 50.4(1) of the BIA (the "**NOI Proceedings**"). A&M acted as Trustee under the Proposal (in such capacity the "**Proposal Trustee**") during the NOI Proceedings.

3. The Receivership Order empowers and authorizes, but does not obligate, the Receiver to, among other things, manage, operate and carry on the business of the Company and to take possession and control of the Property (as defined in the Receivership Order) and any and all proceeds, receipts and disbursements arising out of or from the Company, and to sell, convey, transfer, lease or assign the Property or any part or parts thereof out of the ordinary course of business.

October 17th Application

4. On October 6, 2025, the Receiver filed an application returnable October 17, 2025 (the "**October 17th Application**") and filed its First Report in support of the application. At the October 17th Application, the Receiver sought Orders from this Honourable Court granting, among other things:

    a) the ancillary relief Order (the "**Ancillary Order**"):

i. approving the Receiver's actions, activities and conduct, and those of its legal counsel since the Receivership Date, including the Interim Statement of Receipts and Disbursements, as set out in the First Report;

ii. temporarily sealing the confidential appendices to the First Report on the Court record; and

iii. approving the fees and disbursements of the Receiver and its counsel, as set out in the First Report; and

b) the reverse vesting order ("**RVO**"):

i. approving the SPA and the proposed transaction contemplated therein;

ii. granting the Releases in favour of the Released Parties; and

iii. upon filing of the Receiver's Certificate, discharging Cleo and adding ResidualCo to these Receivership Proceedings.

5. The Court granted the Ancillary Order at the October 17th Application but reserved its decision on the RVO pending written arguments to be presented by: (i) counsel for the Government of Alberta, Department of Energy and Minerals ("**Alberta Energy**") regarding alleged unpaid pre-filing mineral lease and royalty arrears (the "**Alberta Crown Arrears**"), payable to the Crown in right of Alberta (the "**Alberta Crown**"); and (ii) Department of Justice Canada ("**DOJ**"), appearing on behalf of Employment and Social Development Canada ("**ESDC**"), regarding the potential impact of the RVO on claims paid to former employees of Cleo under the *Wage Earner Protection Program Act* ("**WEPPA**").

6. On October 22, 2025, Alberta Energy filed its written submissions with the Court in the form of an affidavit and a bench brief, while the DOJ submitted its written arguments the same day by way of a letter to the Court. In response, the Receiver

filed a supplement to its First Report, along with reply briefs addressing the arguments advanced by Alberta Energy and the DOJ, on October 24, 2025.

7. On October 28, 2025, after considering the written submissions of the Receiver, Alberta Energy, and the DOJ, the Court issued its reasons for decision (the "**Reasons for Decision**"), attached to this Report as **Appendix "A"**. In the Reasons for Decision, the Court dismissed the Receiver's application for the RVO, without prejudice to the Receiver's ability to reapply for approval of the proposed transaction with additional supporting materials and/or a restructured transaction.

PURPOSE OF THIS REPORT

8. The purpose of this Second Report of the Receiver (the "**Second Report**" or this "**Report**") is to provide this Honourable Court with information in respect of the following:

   a) a brief summary of the Reasons for Decision regarding the proposed RVO and the potential clawback of Wage Earner Protection Program ("**WEPP**") payments;

   b) the Receiver's Interim Statement of Receipts and Disbursements (as defined below) from October 4, 2025 to October 31, 2025 (the "**Reporting Period**");

   c) a summary of the proposed reverse vesting transaction contemplated in the Share Purchase Agreement (the "**SPA**") between Cleo and 2698902 Alberta Corporation ("**269**" or the "**Purchaser**") dated October 6, 2025 (the "**Transaction**");

   d) the Receiver's recommendation on the SPA and the revised reverse vesting order ("**Revised RVO**"); and

   e) the Receiver's conclusions and recommendations with respect to the above.

9. The Receiver is requesting orders from this Honourable Court granting the following relief at the Application scheduled for November 14, 2025:

   a) approving the Receiver's actions, activities and conduct since the First Report, including the Interim Statement of Receipts and Disbursements;

   b) approving the Receiver's fees and disbursements, and those of its legal counsel, Miller Thomson LLP ("**Miller Thomson**" or "**Receiver's Counsel**") over the Reporting Period; and

   c) authorizing and approving the Receiver to complete the Transaction contemplated by the SPA and granting the Revised RVO in respect of the Transaction.

10. Capitalized words or terms not otherwise defined in this Report shall have the meaning ascribed in the Receivership Order or the reports filed by the Receiver in these proceedings.[1]

BACKGROUND AND OVERVIEW

11. Cleo was incorporated under the laws of Alberta in 2016 and is a privately-owned oil and gas operator specializing in medium-gravity oil. Based in Calgary, Alberta, Cleo operates throughout East Central Alberta. As discussed in the First Report, a significant number of Cleo's producing assets were sold in the NOI Proceedings, and its only remaining producing oil and gas wells are located in the Shorncliffe and Fabyan fields.

12. Cleo's shares are held entirely by its parent corporation Chimera Management Group Ltd., a holding corporation. Cleo does not own shares in any other corporation.

[1] The First Report of the Receiver dated October 6, 2025 (the "**First Report**") and the Supplement to the First Report of the Receiver dated October 24, 2025 (the "**Supplemental Report**").

13. Further background regarding the Company and its financial circumstances is contained in the materials filed in support of and relating to the Receivership Order. These documents and other relevant information, including all publicly available information pertaining to the NOI Proceedings and Receivership Proceedings, have been posted on the Receiver's website at www.alvarezandmarsal.com/CLEO (the "**Website**").

TERMS OF REFERENCE

14. In preparing this Report, the Receiver has relied upon: (i) the representations of certain former management and other key stakeholders of the Company; (ii) financial and other information contained in the Company's books and records, which were produced and maintained principally by the Company; and (iii) information obtained by the Proposal Trustee prior to the Receivership Proceedings.

15. The Receiver has not performed an audit, review or otherwise attempted to verify the accuracy or completeness of the Company's financial information that would wholly or partially comply with Canadian Auditing Standards ("**CASs**") pursuant to the *Chartered Professional Accountants Canada Handbook*, and accordingly, the Receiver expresses no opinion or other form of assurance contemplated under CASs in respect of the financial information.

16. All references to dollars are in Canadian currency unless otherwise noted.

SUMMARY OF REASONS FOR DECISION

RVO Application

17. In the Reasons for Decision, the Court dismissed the Receiver's application for an RVO for, among other things, the following reasons:

    a) The Court found there was insufficient evidence demonstrating that the proposed RVO structure was necessary in the circumstances, specifically with respect to:

i. why the burden associated with transferring the licences subject to the proposed transaction from the Alberta Energy Regulator ("**AER**") necessitated an RVO structure to avoid potential delays, costs, and risks;

ii. why the proposed transaction could not be completed through a *Companies' Creditors Arrangement Act*, R.S.C. 1985, c. C-36 ("**CCAA**") plan of arrangement and/or compromise ("**CCAA Plan**") rather than through an RVO; and

iii. what inherent corporate attributes might be preserved under an RVO structure that, if unavailable, would cause the Purchaser to abandon the transaction rather than negotiate a reduced purchase price to reflect a change in the structure of the proposed transaction.

b) The Court further found there was insufficient evidence to determine whether any stakeholder would be worse off under the original RVO structure than under any other viable alternative, specifically with respect to:

i. whether a viable alternative to the proposed transaction exists that would satisfy Alberta Energy's requirement to be paid alleged cure costs for pre-filing debt, comprising approximately $150,000 in unpaid royalties and leases (the "**Alberta Crown Cure Costs**"), as more particularly described in the Supplemental Report, while maintaining the RVO structure; and

ii. why alternatives to the proposed RVO structure would result in material environmental liabilities and abandonment and reclamation obligations being transferred to the Orphan Well Association (the "**OWA**").

c) The Court also noted in its Reasons for Decision that the proposed RVO does not provide for the payment of the Alberta Crown Cure Costs,

notwithstanding that the Purchaser would receive the ongoing value of the mineral leases being acquired pursuant to the proposed transaction.

Potential Clawback of WEPP Payments

18. At the October 17 Application and in its written submission, the DOJ on behalf of ESDC had advised the Court a reverse vesting order transaction could have an impact on employees who received WEPP payments as part of their employment termination in these proceedings.

19. The Court addressed this in the Reasons for Decision at paragraphs 40 to 46.

20. The DOJ has been provided a copy of the Revised RVO in advance of filing the Receiver's application and we understand that ESDC takes no position at the application for the Revised RVO.

INTERIM STATEMENT OF RECEIPTS AND DISBURSEMENTS

21. The table below presents the Receiver's interim statement of receipts and disbursements ("**Interim Statement of Receipts and Disbursements**") from October 4, 2025 to October 31, 2025:

Cleo Energy Corp. In Receivership Interim Statement of Receipts and Disbursements June 3, 2025 to October 31, 2025	First Report Jun 3/25 to Oct 3/25	Reporting Period Oct 4/25 to Oct 31/25	Total Jun 3/25 to Oct 31/25
Opening Cash Balance	**281,630**	**990,788**	**281,630**
Receipts			
Oil & Gas Revenue[1]	1,193,341	162,858	1,356,199
Sales Proceeds[2]	2,139,830	-	2,139,830
Other Income	43,501	1,116	44,617
Total Receipts	**3,376,672**	**163,974**	**3,540,646**
Operating Disbursements			
Field Operating Costs	122,420	44,665	167,084
Utilities	63,802	11,634	75,436
Contractors	439,200	97,147	536,346
Insurance	25,836	-	25,836
Crown Mineral & Surface Leases	117,501	-	117,501
General & Administrative	41,011	8,023	49,034
Total Operating Disbursements	**809,769**	**161,468**	**971,237**
Non-Operating Disbursements			
Priority Payment for Source Deductions[3]	70,347	-	70,347
Company Counsel's Fees	101,391	84	101,474
Receiver's Fees	312,377	112,548	424,925
Proposal Trustee's Fees	89,076	-	89,076
Receiver's Counsel's Fees	126,115	89,267	215,382
Proposal Trustee's Counsel's Fees	25,968	-	25,968
Interim Financing Facility Repayment	1,078,907	-	1,078,907
Sales Agent Fees	53,564	-	53,564
Total Non-Operating Disbursements	**1,857,744**	**201,899**	**2,059,643**
Total Disbursements	**2,667,513**	**363,367**	**3,030,880**
Net Cash Flow	**709,159**	**(199,393)**	**509,766**
Ending Cash Balance	**990,788**	**791,396**	**791,396**

(1) For the First Report period, includes pre-Receivership related revenues from May production, which settled on June 25, 2025.
(2) Comprised of the amounts collected from the June 2025 Transactions.
(3) Relates to source deductions assessed as owing in the NOI period, paid in the Receivership.

22. There was approximately $990,788 of opening cash available at the start of the Reporting Period.

23. The Receiver collected approximately $163,974 during the Reporting Period, relating primarily to Oil and Gas receipts.

24. The Receiver has made disbursements of approximately $363,367 during the Reporting Period, relating primarily to:

a) Field Operating Costs of $44,665 consisting primarily of payments to third parties for services such as trucking, maintenance, and fuel;

b) Contractor costs of $97,147 for continued labour needs of the operations;

c) Utility payments of $11,634 for gas and electricity; and

d) Payment of professional fees to the Receiver and the Receiver's Counsel in the amount of $112,548 and $89,267, respectively;

25. The total ending cash available as at October 31, 2025 is $791,396.

SHARE PURCHASE AGREEMENT[2]

Overview

26. The Transaction contemplated in the SPA is a "reverse vesting" transaction which involves the Purchaser's purchase and subscription, and the Receiver's sale, of the common shares in Cleo. A redacted copy of the SPA is attached as Appendix "A" to the First Report, and an unredacted copy of the SPA has been provided to the Court as Confidential Appendix "C" to the First Report.

27. Confidential Appendix "C" is temporarily sealed on the Court record pursuant to the Ancillary Order.

28. The contemplated SPA has not been amended since it was entered into between the Receiver and 269 (as outlined in the First Report). The key terms of the SPA are as follows:

a) the total cash consideration payable by the Purchaser for the Transaction is the Purchase Price, adjusted by the net amount of production revenues earned and associated costs incurred by the

[2] In this section of the Second Report, capitalized terms not otherwise defined have the meanings ascribed to them in the SPA.

Receiver from the Effective Date up to and including the Closing Date (the "**Adjusted Purchase Price**");

b) additional consideration includes Cleo's retention of the Retained Assets, Retained Liabilities, and Retained Contracts;

c) Miller Thomson is in possession of the Deposit, which represents 100% of the Purchase Price, the amount of which is disclosed in Confidential Appendix "C" to the First Report;

d) the Adjusted Purchase Price will be paid at Closing, first by applying the Deposit, with the balance of the Adjusted Purchase Price to be paid by wire transfer of immediately available funds, either by the Purchaser to the Receiver or by the Receiver to the Purchaser, depending on the Adjusted Purchase Price;

e) the Purchaser will purchase and subscribe to 200,000,000 Common Shares of Cleo, for a subscription amount equal to the Purchase Price;

f) the Purchaser's purchase of the Common Shares, the Retained Assets, Retained Liabilities and Retained Contracts is on an "as is, where is" basis;

g) the Transaction is expected to close on or before November 20, 2025; and

h) the SPA is conditional upon Court approval of the Revised RVO.

Receiver's Recommendation on the SPA

29. The Receiver is of the view that the SPA is commercially reasonable in the circumstances for the following reasons:

a) the Receiver is authorized by this Court, pursuant to the Receivership Order, to market and sell the Common Shares;

b) the SPA resulted from an extensive marketing process conducted by the Company and its sale advisor Sayer in the NOI Proceedings, followed by the Remarketing Process conducted by the Receiver;

c) the Receiver has determined that the SPA represents the highest and best offer for the assets being sold and ensures that all environmental liabilities and abandonment and reclamation obligations will be retained by the Purchaser, thereby preventing their transfer to the OWA;

d) Should the SPA not be approved by this Honourable Court, there are no further parties that have expressed an interest or placed an offer in the Remarketing Process to assume all the remaining assets and abandonment and reclamation obligations of Cleo. In this scenario, the Receiver's next step will likely be to shut-in current operations on existing production, as the monthly burn rate to operate Cleo is approximately $170,000 (before professional fees and costs), and is now considered unsustainable. Following the shut-in of operations, the Receiver would look to transfer approximately $38 million (as discussed below) in estimated deemed liabilities (asset retirement obligations) to the OWA, representing approximately 1,100 wells, over 1,000 kilometres of pipelines and approximately 75 facilities to be decommissioned and paid by industry and the Province;

e) the Receiver or its counsel have engaged with counsel to the OWA, the AER, Alberta Energy, the DOJ, and several municipal tax claimants to discuss the Transaction and to seek their input on the Revised RVO and these stakeholders either supported or took no position on the changes; and

f) the SPA was negotiated between the Receiver and the Purchaser at arm's length and in good faith.

30. On September 19, 2025, the Receiver was advised by the AER that it did not object to the transaction contemplated in the SPA, provided that the Purchaser fulfilled its obligations to the AER with respect to field non-compliances, mandatory closure spend quotas, the orphan fund levy, the administration fund levy, and other applicable regulatory requirements. The Receiver has been advised that the Purchaser has met with the AER, is aware of these obligations, and is prepared to comply with the AER's requirements.

31. At the October 17th Application, the OWA advised the Court that it was supportive of the Receiver pursuing the Transaction, as it results in all environmental liabilities and abandonment and reclamation obligations being retained by the Purchaser, unlike any of the other offers received by the Receiver during the Remarketing Process.

32. A summary of the Non-Binding Bids received in the Remarketing Process is attached Confidential Appendix "B" to the First Report.

33. For the reasons above, the Receiver recommends that the Court approve the SPA.

REVISED REVERSE VESTING ORDER[3]

Overview

34. Following the issuance of the Reasons for Decision, the Receiver engaged in discussions with the Purchaser and Alberta Energy to address both the Alberta Crown Cure Costs and any potential cure costs owing in respect of the Retained Assets (the "**Other Cure Costs**").

35. Counsel to Alberta Energy advised it was its preference for the Alberta Crown Cure Costs to be satisfied from the Purchase Price proceeds as opposed to these cure costs being retained by the Purchaser. As a result, the Receiver, the Purchaser and

[3] In this section of the Second Report, capitalized terms not otherwise defined have the meanings ascribed to them in the SPA or the Revised RVO.

counsel to Alberta Energy have agreed to the provisions in the Revised RVO, and specifically the new sections 10(i) and 10.1.

36. The Revised RVO contemplates the following:

a) the creation of a residual company, 2755857 Alberta Ltd. ("**ResidualCo**"), where the Excluded Assets, Excluded Liabilities and Excluded Contracts will be transferred to, assumed by, and vested in absolutely and exclusively;

b) Cleo will retain all of the non-cash assets owned by it on the Closing Date, including, without limitation, the Retained Contracts, the Title and Operating Documents, Petroleum and Natural Gas Rights, the Tangibles, the Miscellaneous Interests, and Books and Records, except any Excluded Assets, Excluded Liabilities, or Excluded Contracts;

c) ResidualCo will replace Cleo as the respondent party in these Receivership Proceedings;

d) Cleo will cease to be a party in these Receivership Proceedings, and will be deemed to be released from the purview of the Receivership Order and all other Orders of the Court granted in respect of these Receivership Proceedings, save and except for the Revised RVO, which shall continue to apply in all respects;

e) the Purchaser will be the sole legal and beneficial shareholder of Cleo;

f) the Purchase Price proceeds will be used to satisfy any valid and proven amounts owing in respect of the Alberta Crown Cure Costs; and

g) if any valid and proven Other Cure Costs cannot be fully satisfied from the Purchase Price Proceeds, the corresponding contract counterparties will be permitted to terminate their agreements with the Company.

Proposed Post-Closing Claims Process

37. Should this Honourable Court approve the Transaction, the Receiver proposes to retain two pools of funds: (i) the Purchase Price (the "**Purchase Price Funds**"), and (ii) the cash on hand to be transferred from Cleo to ResidualCo upon closing (the "**ResidualCo Funds**"). These proceeds will be segregated to allow for distribution following a Court-approved claims process to determine creditors' priorities with respect to each pool of funds.

38. The Receiver intends to return to Court to seek approval of a claims process to determine the security and priority of any claims that ResidualCo creditors may have against the Purchase Price Funds and/or the ResidualCo Funds. This process will include potential Other Cure Costs claimants who may be owed amounts from the Purchase Price Funds. As stated in the Revised RVO, if any valid and proven Other Cure Costs cannot be fully satisfied, the corresponding contract counterparties will be entitled to terminate their agreements with the Company.

39. Once the claims have been determined, the Receiver will seek an order authorizing the distribution of the Purchase Price Funds and the ResidualCo Funds in accordance with priorities following the approved claims process.

Receiver's Views on the Appropriateness of the Revised RVO

40. The Receiver considered the following four guidelines as set out in *Harte Gold (Re)*, 2022 ONSC 653, in determining that the Revised RVO is appropriate in the circumstances:

    a) Is the Revised RVO structure necessary?

    b) Does the Revised RVO structure produce an economic result at least as favourable as any other viable alternative?

    c) Is any stakeholder worse off under the Revised RVO structure than they would have been under another viable structure?

d) Does the consideration being paid for Cleo's business reflect the importance and value of the intangible assets being preserved under the Revised RVO structure?

41. In considering the four accepted guidelines used in determining the appropriateness of a court approving an RVO, the Receiver contemplated additional information to address the specific additional concerns of this Honourable Court raised in the Reasons for the Decisions, as summarized above in paragraph 16. The below further considerations should be read in conjunction with the Receiver's further reasoning/comments on the four guidelines as noted in the First Report.

The Revised RVO is Necessary

AER License Transfer

42. The Revised RVO structure eliminates the need to seek AER approval for approximately 1,100 licence transfers, a process that, based on the Company's experience and the Receiver's experience in insolvency proceedings, could otherwise take between one to four months to complete. Requiring such approvals would introduce regulatory risk, potentially delay closing, increase transaction costs (as discussed below), and deplete the remaining cash available for distribution to creditors.

43. In particular, implementing the Revised RVO structure provides the following advantages:

a) **No requirement for a BA Code**: The Purchaser does not currently have a Business Associate ("**BA**") code. Under a conventional share purchase or asset transfer, obtaining a BA code would be a prerequisite to holding AER licences, resulting in a delay to the closing of the Transaction. The Receiver understands in its communication with the AER that the estimated timeline for an operator to seek a new BA code could take approximately 4 weeks, if approved;

b) **Regulatory efficiency**: The Revised RVO structure allows the Purchaser to continue operations under Cleo's existing licences without disruption and the need for various temporary operating agreements between the Purchaser and the Receiver to be entered into while the licenses are transferred, ensuring ongoing regulatory compliance with AER directives and avoid risking further potential liabilities that could be incurred to the estate;

c) **Cost savings**: Avoiding the licence transfer process reduces administrative and legal costs that would otherwise be incurred by the estate to prepare AER applications and associated title transfer documentation. The Receiver estimates these costs could total up to $125,000, including estimated professional fees, given the number of licences involved and the need for continued engagement with administrative contractors during the transition.

   For instance, the Receiver is currently completing its closing requirements on an asset sale this Court approved on June 2, 2025 with Rise, which includes a transfer of over 300 wells. Although the transaction closed on June 6, 2025, the Receiver and its contractors (i.e., landman) are still in the process of completing the various assignment and novation agreements, Special Areas Board assignments, facility assignments and transfers of surface caveats. As such, the contemplated Transaction, if sold through a traditional sale approval and vesting order (no RVO), would likely result in a longer timeframe to close; and

d) **Preservation of existing AER security deposit**: Cleo currently maintains an approximately $850,000 security deposit with the AER in respect of its existing licences. Through the Revised RVO structure, the Purchaser will assume Cleo's BA code and the benefit of this existing security deposit. In contrast, under a conventional transaction involving

licence transfers, the Purchaser would not receive the benefit of Cleo's existing deposit and would be required to post a substantially larger new deposit as a condition of AER approval. By enabling the assumption of Cleo's licences and existing security, the Revised RVO structure materially reduces the Purchaser's initial funding requirements and preserves value for Cleo's creditors. This in turn allows the Purchaser to apply its cash resources to operations and compliance with AER obligations. Further, if there was a requirement to fund a further security deposit upfront, the Receiver is advised by the Purchaser that the Purchaser Price would be reduced further to address the security deposit requirement, resulting in less funds available for distribution to creditors.

No Other Viable Transaction Alternatives

44. Completing a transaction through a CCAA Plan would be cost-prohibitive and would introduce additional risk, delay, and uncertainty to the estate. It should be noted that Cleo, with the assistance of the Sales Agent and Proposal Trustee, undertook an extensive SISP with a view of exploring all available options to the Company, including restructuring its affairs and presenting a plan to its creditors and stakeholders. As a result of the SISP and limited options available, the NOI Proceedings culminated in the sale of specific oil and gas assets rather than a restructuring of the Company's operations and business.

45. In the Receiver's view, commencing proceedings under the CCAA (similar to the NOI Proceedings that Cleo was previously part of) would not be appropriate in the circumstances for the following reasons:

a) **Cost of a CCAA proceeding**: Commencing a new, separate insolvency proceeding under the CCAA would require the appointment of a Monitor, the preparation and negotiation of a detailed CCAA Plan with Cleo's creditors and stakeholders, and multiple court attendances. These steps would result in significant professional fees and costs that

may be in the range of $400,000 to $500,000 or higher, which is disproportionate to the size of this estate, that has approximately $791,000 in remaining funds, as outlined in the Interim Statement of Receipts and Disbursements;

b) **Extended timelines**: Developing and implementing a CCAA Plan would likely take several months to structure, negotiate, and obtain both creditor and Court approval, delaying the completion of the transaction and increasing the estate's carrying costs with respect to Cleo's producing assets. The Receiver estimates that operational monthly burn of approximately $170,000, combined with the estimated professional fees ranging from approximately $400,000 to $500,000, or higher, would render this option not feasible and would drain any remaining funds in the estate. In addition, the "Monitor" would likely require interim financing, which the Receiver believes it would likely not obtain given the scenario and the value of the oil and gas assets.

c) **Uncertainty of approval**: There is no assurance that creditors would vote in favour of a plan of arrangement or that the Court would sanction it, particularly given the limited recoveries expected after accounting for the costs of a CCAA proceeding. Pursuing that process would result in substantial additional cost and delay without any guarantee of a successful outcome, and the resulting uncertainty would, in all likelihood, cause the Purchaser to withdraw from the transaction. As a result, a potential CCAA Plan in this scenario may be "doomed to fail" out the gate;

d) **No willing transaction parties**: The Purchaser has advised it is not willing to extend the Transaction beyond the Outside Date of November 20, 2025, to negotiate and complete and alternative form of transaction. As previously stated, there are no further offers or interested parties that are present to purchase all of the remaining

liabilities and assets of Cleo and no party has expressed an interest or desire that they wish to complete a transaction through a CCAA Plan (only potential small asset sales not requiring an approval and vesting order from this Honourable Court). Further it is uncertain the OWA and AER will permit the Receiver to maintain care and custody of the Remaining Assets to pursue an alternative form of transaction if one were available; and

e) **Preservation of value**: The Revised RVO structure achieves substantially the same commercial outcome as a Plan of Arrangement, namely, facilitating the transfer of Cleo's non-asset attributes to the Purchaser, while avoiding the cost, delay, and uncertainty associated with a separate insolvency proceeding. The Receiver is of the view that the Revised RVO is the most practical and cost-effective manner to complete the Transaction, in the circumstances. The Transaction has the support of the OWA, and Alberta Energy, with the DOJ and the AER taking no position. The Receiver has not been advised of any secured creditor or priority secured creditor opposing the relief sought by the Receiver.

Other Key Considerations

46. The Purchaser has advised the Receiver that it is willing to proceed only by way of a reverse vesting transaction, rather than through a traditional asset purchase or other restructuring alternative. Should this Honourable Court not approve the Revised RVO structure, the Purchaser has confirmed that it would not proceed with the Transaction, as the loss of the benefits afforded by this structure would materially diminish the economic rationale for the transaction and remove the basis on which the Purchaser is prepared to proceed.

47. As a result of the Transaction, Cleo will continue its operations with the Purchaser as the new sole shareholder, gaining ownership of the Retained Assets, Retained Liabilities, and Retained Contracts. The Revised RVO ensures that the Purchaser

has the resources necessary to continue operations seamlessly post-closing, without disruption, while maintaining production and revenue streams and ensuring that regulatory and compliance obligations are appropriately managed. In addition, Cleo will be able to employ contractors, employees and provide further work for suppliers and the industry versus being shut-in and delivered to the OWA, which in essence, is the goal of restructuring in an NOI Proceeding or CCAA Proceeding, without the added costs, risks and concerns as contemplated by the Receiver above.

The RVO Structure Produces an Economic Result at Least as Favourable as Any Other Viable Alternative

48. As described above, the SPA represents the highest and best offer for the assets being sold and provides the most favourable economic result for Cleo's stakeholders in the circumstances. The Transaction ensures that all environmental liabilities and abandonment and reclamation obligations (collectively, the "**Environmental Liabilities**") remain with Cleo and are not transferred to the OWA. In contrast, based on the results of the sales processes run to date, any alternative sale to other Bidders through a traditional asset purchase agreement or otherwise, will result in the transfer of substantial Environmental Liabilities to the OWA and no recoveries to any creditors.

49. As summarized in Confidential Appendix "B" of the First Report, the Purchaser's offer is by far the most advantageous when considering both the cash component and the scope of Environmental Liabilities being assumed.

50. The Purchaser is assuming estimated environmental liabilities of approximately $38 million associated with Cleo's remaining wells and facilities, while also providing a significant cash component to fund the Alberta Crown Cure Costs and any Other Cure Costs, if applicable.

51. In contrast, all other offers from the Remarketing Process reflected either nominal liability assumptions, minimal cash consideration, or both. If the Receiver were required to dispose of Cleo's remaining assets through traditional asset sale to other

Bidders, it is estimated that a significant portion of these Environmental Liabilities, in excess of $38 million, would need to be disclaimed and directed to the care and control of the OWA. Accordingly, the Revised RVO structure and the Purchaser's offer together provide the only commercially reasonable path to complete the sale, mitigate environmental exposure, and preserve value for Cleo's creditors.

No Stakeholder is Worse Off under the RVO Structure than They Would Have Been Under Another Viable Structure

52. The Receiver is not aware of any stakeholders who would be prejudiced by the Revised RVO structure. As noted above, the Revised RVO structure contemplated in the Transaction ensures, among other things, that all Environmental Liabilities are assumed by the Purchaser and that the Alberta Crown Cure Costs and Other Cure Costs are paid from the Purchase Price proceeds to satisfy any valid and proven amounts owing. If any valid and proven Other Cure Costs cannot be fully satisfied, the corresponding contract counterparties will be permitted to terminate their agreements with the Company.

53. The other Non-Binding Bids received as part of the Remarketing Process, whether considered individually or in combination would result in material Environmental Liabilities being transferred to the OWA and no recoveries to the remaining creditors, including those claiming for cure costs. This outcome would arise because the OWA holds a super-priority ranking in respect of abandonment and reclamation obligations and, given the magnitude of the Environmental Liabilities remaining with the estate, would have priority over all or substantially all of the remaining estate funds.

54. The Receiver has shared the Revised RVO with key stakeholders who were in attendance and made submissions at the October 17th Application, including counsel to Alberta Energy, counsel to the AER, counsel to the OWA, the DOJ, and counsel to various municipalities. The Receiver is not aware of any of these parties objecting to the Revised RVO.

The Consideration Being Paid for Cleo's Business Reflects the Importance and Value of the Intangible Assets Being Preserved under the RVO Structure

55. In the Receiver's view, the Revised RVO highlights the significance and value of preserving Cleo's intangible assets. As previously indicated, the Revised RVO maintains Cleo as a legal entity, thereby preserving certain attributes that would otherwise be lost in a traditional asset sale transaction. The loss of these attributes would likely cause the Purchaser to withdraw from the transaction rather than renegotiate a reduced Purchase Price. These preserved attributes include:

a) **AER security deposit:** Cleo's existing $850,000 security deposit with the AER is preserved under the Revised RVO structure, thereby reducing the additional security that would otherwise be required in respect of the approximately $38 million of Environmental Liabilities being assumed by the Purchaser;

b) **Tax attributes:** Cleo's non-capital loss carry forward of approximately $6.8 million, as reflected in its most recent filed tax return (2022), is preserved as a tax attribute that may be applied against future taxable income. This, including other tax losses, such as COGPE and CEC totaling approximately $240,000 are also considered "assets" of the estate that would be available to the Purchaser; and

c) **Operational systems and software:** Other intangible assets, including essential oil and gas accounting software, field data systems, and related back-office programs, are preserved under the Revised RVO structure. In a traditional asset transaction, these systems would need to be re-established, requiring time, effort, and additional cost.

56. As the Revised RVO is a required condition to the SPA, the Receiver considers the Purchase Price being paid and the assumption of the Environmental Liabilities to reflect: (i) the importance and value of the time it would take to undertake the additional steps required by the AER under a traditional asset sale/vesting order

transaction; and (ii) the value attributable to Cleo's intangible assets being preserved. As such, the Receiver believe the Purchaser Price in this Transaction is reasonable and supportable in the circumstances, especially given the results of the Remarking Process.

PROPOSED RELEASES

57. The Revised RVO includes releases (the "**Releases**") in favour of the Released Parties from any and all present and future claims that any person may have or be entitled to assert against the Released Parties arising from the Transaction and the granting of the Revised RVO in respect of the Company.

58. Specifically, the Released Parties are defined to include:

a) Chris Lewis, in his capacity as the former director of the Company;

b) the Receiver and the Receiver's Counsel; and

c) Chris Lewis, in his capacity as director of ResidualCo.;

(collectively, the "**Released Parties**").

59. The full scope of the release provisions is set out at paragraphs 17 and 18 of the Revised RVO and should be read in conjunction with this Report.

Receiver's Views on the Appropriateness of the Proposed Releases

60. The Receiver considered the following guidelines in concluding that the proposed Releases are appropriate in the circumstances:

a) whether the Releases are rationally connected to the purpose of the SPA;

b) whether the Transaction can succeed without the Releases;

c) whether the Released Parties contributed to the SPA and the entire Receivership Proceedings;

d) whether the Releases benefit the Company as well as its creditors generally;

e) whether the Company's creditors have knowledge of the nature and the effect of the Releases; and

f) whether the Releases are fair, reasonable, and not overly broad.

61. The Receiver is of the view that the proposed Releases should be approved by this Honourable Court on the basis that:

a) they are expressly connected to the Transaction;

b) approval of the Revised RVO by this Honourable Court, which includes the releases, is a condition precedent to the SPA;

c) each of the Released Parties have made important critical contributions to the Receivership Proceedings, the negotiations of the SPA, the implementation of the Remarketing Process, and the services and expertise of the Released Parties were and are necessary for the ultimate success of the Transaction;

d) the Transaction will advance, preserve and protect the business operations of the Company and provide a greater recovery to the stakeholders than would not otherwise be available to them; and

e) the release provisions have been fully disclosed to the service list.

APPROVAL OF PROFESSIONAL FEES AND EXPENSES

62. The Receiver and its legal counsel have rendered their invoices for their respective fees and disbursements for services in connection with the Receivership Proceedings and are seeking the approval of this Honourable Court.

63. The Receiver seeks approval from this Honourable Court of: (i) its professional fees and disbursements for the period of September 27, 2025 to October 24, 2025 (the

"**Receiver Taxation Period**"); and (ii) Miller Thomson's professional fees and disbursements for the period of September 15, 2025 to October 31, 2025 (the "**Miller Thomson Taxation Period**").

64. The total fees and expenses of the Receiver during the Receiver Taxation Period are $107,189 (exclusive of GST), a summary of which is included below:

Cleo Energy Corp.
Summary of the Receiver's Statements of Account
For the period September 27, 2025 to October 31, 2025

Invoice	Period	Fees	Disbursements	Subtotal	GST	Total
Alvarez & Marsal Canada						
5	September 27, 2025 to October 24, 2025	107,129	60	107,189	5,359	112,548
	Total	**107,129**	**60**	**107,189**	**5,359**	**112,548**

65. The total fees and expenses of the Receiver's Counsel during the Miller Thomson Taxation Period total $85,033 (exclusive of GST), a summary of which is included below:

Cleo Energy Corp.
Summary of the Receiver's Counsel's Statements of Account
For the period September 15, 2025 to October 31, 2025

Invoice	Period	Fees	Disbursements	Subtotal	GST	Total
Miller Thomson LLP						
4181898	September 15, 2025 to October 31, 2025	84,551	482	85,033	4,234	89,267
	Total	**84,551**	**482**	**85,033**	**4,234**	**89,267**

66. The Receiver and Miller Thomson's invoices outline the date of the work completed, the description of the work completed, the length of time taken to complete the work and the name of the individual who completed the work in question. Copies of the invoices will be made available to the Court at its direction, if necessary.

67. The Receiver respectfully submits that its professional fees and disbursements and those of its legal counsel are fair and reasonable in the circumstances, given the substantive tasks required to be performed by the Receiver and its legal counsel in connection with the Receivership Proceedings.

RECEIVER'S CONCLUSIONS AND RECOMMENDATIONS

68. The Receiver recommends that this Honourable Court grant the following:

a) the conduct and fees approval Order:

i. approving the Receiver's actions, activities and conduct, and those of its legal counsel since the First Report, including the Interim Statement of Receipts and Disbursements, as set out in this Report; and

ii. approving the fees and disbursements of the Receiver and its counsel, as set out in this Report; and

b) the Revised RVO:

i. approving the SPA and the Transaction contemplated therein;

ii. granting the Releases in favour of the Released Parties; and

iii. upon filing of the Receiver's Certificate, discharging Cleo and adding ResidualCo to these Receivership Proceedings.

All of which is respectfully submitted this 5th day of November, 2025.

ALVAREZ & MARSAL CANADA INC.,
in its capacity as the Court-appointed Receiver of
CLEO Energy Corp. and not its
personal or corporate capacity





Orest Konowalchuk, CPA, CA, CIRP, LIT
Senior Vice President

David Williams, CPA, CIRP, LIT
Vice President

APPENDIX A

JUDICIAL CENTRE OF CALGARY
FILED
OCT 28 2025
CLERK OF THE COURT

Court of King's Bench of Alberta

Citation: Cleo Energy Corp (Re), 2025 ABKB 621

Date:
Docket: B301 163430
Registry: Calgary

IN THE MATTER OF THE ***BANKRUPTCY AND INSOLVENCY ACT***, RSC 1985, C B-3, AS AMENDED
AND IN THE MATTER OF THE NOTICE OF INTENTION TO MAKE A PROPOSAL OF CLEO ENERGY CORP.

Reasons for Decision
of the
Honourable Justice Colin C.J. Feasby

I. Introduction

[1] Reverse Vesting Orders ("RVOs") burst on to the scene in 2019. Since then, RVOs have gone from "extraordinary to ordinary."[1] The present application by the Receiver of Cleo Energy Corp. ("Cleo") for approval of an RVO involves what before 2019 would likely have been a standard oil and gas transaction implemented through a *Companies' Creditors Arrangement*, RSC 1985, c C-36 ("*CCAA*") plan or a traditional approval and vesting order ("AVO"). The present application raises two questions relevant to insolvency and restructuring practice in the oil and gas industry and a third question of broader application.

[2] The first question that must be decided is if the RVO structure is necessary in the present case. ***Harte Gold (Re)***, 2022 ONSC 653, the leading RVO case, held that an RVO must be necessary. The Receiver asserts that the proposed RVO transaction is necessary because it is more efficient than alternative transaction structures and it is required by the purchaser. The second question that must be decided is whether the RVO structure may be used to shed liability for cure costs relating to unpaid royalties owing pursuant to Crown petroleum and natural gas leases. The third question, raised by Employment and Social Development Canada ("Employment Canada"), concerns potential adverse consequences for employees who made Wage Earner Protection Program ("WEPP") claims because of use of the RVO structure.

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[1] Victor Olusegun, "The Journey of Reverse Vesting Orders from 'Extraordinary' to Ordinary: Is it Time for Parliamentary Intervention?" (2024) 22 Annual Review of Insolvency Law 16.

II. The Cleo Energy Corp. Receivership Proposal

[3] Cleo is a private oil and gas company that owned and operated assets in East Central Alberta. Cleo filed a Notice of Intention to Make a Proposal ("NOI") pursuant to section 50.4(1) of the *Bankruptcy and Insolvency Act*, RSC 1985, c B-3 ("*BIA*") on December 8, 2024. During the NOI proceedings, some of Cleo's assets were sold through a sales and investment solicitation process. However, not all Cleo's assets were sold within six months of Cleo filing the NOI. So, to avoid a deemed bankruptcy pursuant to s 50.4(8) of the *BIA*, uCapital – uLoan Solutions Inc. (the "Interim Financier") applied for and was granted a receivership order on June 2, 2025. Alvarez & Marsal Canada Inc. was appointed as receiver (the "Receiver").

[4] The Receiver conducted what it called a remarketing process to sell the Cleo assets that were not sold in the sales and investment solicitation process conducted during the NOI proceedings. The remarketing process engaged with 37 potential interested parties of which 11 signed non-disclosure agreements to gain access to the virtual data room. Eight non-binding bids resulted from the remarketing process. The receiver selected 2698902 Alberta Corporation (the "Purchaser") as the successful bidder.

[5] The Receiver proposes that the transaction be effected by way of an RVO. The proposed RVO contemplates the creation of ResidualCo that will take on assets, liabilities, and contracts that the Purchaser does not want. Cleo, which will be acquired by the Purchaser, will retain, among other things, "the Retained Contracts, the Title and Operating Documents, Petroleum and Natural Gas Rights...."

[6] The Receiver stated in its First Report that the RVO structure is "essential to maximize value...." The Receiver explained that "[b]y using an RVO, the Purchaser can avoid seeking AER approval for multiple licence transfers, a process that could be lengthy and introduce additional risk and cost to the Transaction and deplete the remaining cash on hand for distribution to creditors." Further, the Receiver reported that "[t]he Purchaser has advised the Receiver that it is only prepared to proceed with a reverse vesting transaction, rather than a traditional asset purchase, as this structure allows for the efficient transfer of applicable licences and contracts." The Receiver stated that it "considers the Purchase Price being paid to reflect:

> (i) the importance and value of the time it would take to undertake the additional steps required by the AER under a traditional asset sale/vesting order transaction; and
>
> (ii) the value attributable to certain of Cleo's attributes which may be preserved.

[7] Despite offering this opinion, the Receiver gave no estimate of the time it would take to complete AER licence transfers or any explanation of what "attributes" of Cleo that would be preserved or why such attributes might have value sufficient to justify proceeding by way of RVO. Presumably, if the Receiver is prepared to offer an opinion to the Court concerning the purchase price and the "value of time" required to effect licence transfers, it must have conducted some analysis to support that opinion. There is no support for the Receiver's opinion to be found in either its First Report or Supplement to the First Report.

[8] The Receiver asserts that alternatives to the proposed RVO "would in all likelihood result in material environmental liabilities and abandonment and reclamation obligations being transferred to the OWA." Again, no evidence or analysis was offered to substantiate this claim

other than to point out that other bids contemplated environmental liabilities being assumed by the OWA.

[9] The proposed RVO provides that Cleo will retain Crown mineral leases with the liabilities for unpaid royalties and rent being transferred to ResidualCo. As I will explain, this is a departure from the usual insolvency and restructuring treatment of executory contracts.

III. Reverse Vesting Orders ("RVOs")

[10] Courts often say that a RVO is an "extraordinary" remedy: see, for example, ***British Columbia v Peakhill Capital Inc***, 2024 BCCA 246 at para 32. Courts also say this about injunctions: see, for example, ***Unifor, Local 707A v Suncor Energy Inc***, 2018 ABCA 75 at para 8. This is not helpful and needs to stop. Using the adjective "extraordinary" to describe something indicates it is unusual or remarkable. A conclusion that something is extraordinary is a product of observation, not legal analysis. As I said in ***R v TGB***, 2023 ABKB 526 at para 5, "[e]mphasizing the extraordinary nature of a remedy, its rarity, or that it is a last resort says nothing about the legal test to be applied; instead, it encourages the trial judge to close her mind to the availability of the remedy." A bigger problem with saying that RVOs are extraordinary is that it is not true. RVOs are now a common way for insolvency and restructuring matters to be resolved. I refuse to subscribe to the polite fiction that RVOs are extraordinary in 2025.

[11] Justice Penny's framework in ***Harte Gold*** at para 38 for analyzing if an RVO should be granted has been adopted widely, including by the Alberta Court of King's Bench: see, for example, ***Delta 9 Cannabis Inc (Re)***, 2025 ABKB 52 at para 61and ***Long Run Exploration Ltd (Re)***, 2024 ABKB 710 at para 18. Justice Penny in ***Harte Gold*** explained that before an RVO is granted, a court must consider four questions:

> (a) Why is the RVO necessary in this case?
>
> (b) Does the RVO structure produce an economic result at least as favourable as any other viable alternative?
>
> (c) Is any stakeholder worse off under the RVO structure than they would have been under any other viable alternative? and
>
> (d) Does the consideration being paid for the debtor's business reflect the importance and value of the licences and permits (or other intangible assets) being preserved under the RVO structure?

[12] Penny J in ***Harte Gold*** at para 38 also observed that an RVO should not be approved just because "it may be more convenient or beneficial for the purchaser."

[13] Justice Marion in ***Delta 9*** at paras 61-62 explained other criteria that may be considered by a court before granting an RVO, but for the present case I will focus on the ***Harte Gold*** factors as that is how all the interested parties framed their submissions. And, further, I will address only the two ***Harte Gold*** factors that were disputed by the parties.

IV. Should the Receiver's Application to Approve the Cleo RVO be Granted?

A. Is the RVO Structure Necessary in this Case?

[14] An important preliminary question is whether the necessity criterion should be taken seriously. The RVO criteria from ***Harte Gold*** are a recent judicial invention; the ink is not yet dry. Outside the cannabis industry, which is arguably a special case, RVOs are often used in restructurings where previously *CCAA* plans or AVOs would have been used. Though the RVO cases have repeatedly affirmed the necessity criterion, the proliferation of RVOs and what courts have found to constitute necessity suggests that a lower standard is being applied. The analysis that follows takes the caselaw at face value and proceeds on the basis that necessary means necessary. With that said, appellate guidance on the question of whether an RVO must be necessary before it may be approved would be of great assistance to lower courts and insolvency and restructuring professionals.

[15] Justice Simard, shortly before his appointment to the bench, and his co-authors compared AVO transactions with RVO transactions with a focus on the oil and gas industry in Chris Simard, et al, "Restructuring and Insolvency Deals in the Oil Patch: Recent Trends and Developments" (2022) 60 Alberta Law Review 363 at 388-92. An AVO, they explained, "allows for the removal of the *assets* from the debtor's insolvent estate." A shortcoming of a standard AVO is that it does not "allow for the purchase and sale of attributes of the debtor company that are *not* assets."

[16] The traditional way for non-asset attributes to be conveyed in insolvency proceedings is via a plan under the *CCAA* or a proposal pursuant to the *BIA*. Both *CCAA* plans and *BIA* proposals provide creditors the right to vote and a claims process. Justice Simard explained at 389, "a court-approved Plan can, in essence, deliver to a third party the ownership of a debtor company that has been 'cleansed' of all creditor claims but that still retains all its assets, along with all inherent corporate attributes that are not assets (such as tax attributes and regulatory licences)." An RVO delivers the benefits of a *CCAA* plan or *BIA* proposal without the messiness and expense associated with creditor democracy: see, Daniel Alievsky, "Reverse Vesting Orders: Did We Forget About Creditor Democracy?" (2023) 12:7 IIC-ART 143 at 149.

[17] The Receiver has identified one reason why an RVO structure must be used in the present case – to avoid the transfer of licences issued by the Alberta Energy Regulator ("AER"). The Receiver asserts that the transfer of licences will take time and cost money which, in turn, will create more risk and reduce the return to Cleo creditors. The Receiver also states that the Purchaser made proceeding by RVO a condition of its offer. I agree with Mr. Alievsky who contends at 152 that "courts should compel parties to explain why and on what evidentiary basis they assert the RVO is not just economically advantageous to its stakeholders, but also better than any alternative." Where it is claimed that there is an obstacle to proceeding using alternative structures such as the cost, risk, and delay of licence transfers, that must be substantiated.

[18] The proposed transaction could be completed by way of a *CCAA* plan. Proceeding by way of a *CCAA* plan would allow Cleo to avoid the licence transfer problem that it has identified. But proceeding by way of a *CCAA* plan would mean that Cleo would have to deal with the inconvenience and expense of affording creditors their statutory rights under the *CCAA* when there will be no recovery for most creditors. I note that neither the Receiver's First Report nor its Supplement to the First Report offers any reasons why a *CCAA* plan is not feasible.

Nevertheless, I will consider the Receiver's contention that the transfer of licences necessitates use of an RVO structure.

[19] The cost, delay, and risk associated with the transfer of licences has been found to justify the use of an RVO structure. For example, the non-transferability of licences in the cannabis industry has been a significant factor driving the increased use of RVOs: ***Atlas Global Brands Inc***, 2024 ONSC 5570 at para 36; ***Delta 9*** at para 69. But the transfer of licences has also been used to justify RVOs in the mining industry and the oil and gas industry where licences are transferrable: see, for example, ***Harte Gold*** and ***Razor Energy Corp, Razor Holdings GP Corp, and Blade Energy Services Corp (Re)***, 2025 ABKB 30 at para 32. Justice Penny in ***Harte Gold*** at para 71 explained:

> The principal objective and benefit of employing the RVO approach in this case is the preservation of Harte Gold's many permits and licences necessary to conduct operations at the Sugar Loaf Mine. Under a traditional asset sale and AVO structure, the purchaser would have to apply to the various agencies and regulatory authorities for transfers of existing licences and permits or, if transfers are not possible, for new licences and permits. This is a process that would necessarily involve risk, delay, and cost. The RVO sought in this case achieves the timely and efficient preservation of the necessary licences and permits necessary for the operations of the Mine.

[20] Justice Penny later noted at para 73 that these were "material risks, delays, and costs" [emphasis added]. Presumably the applicant provided him with evidence to substantiate the materiality of risks, delays, and costs associated with the licence transfers.

[21] The problem in the present case is that delays, risks, and costs associated with the transfer of AER licences are asserted but not proved. Sometimes in Commercial List matters, the Court will accept assertions made by insolvency and restructuring professionals who serve as Monitors, Trustees, and Receivers. But I cannot do so here because the claim runs contrary to common sense.

[22] Oil and gas licence transfers are an everyday part of business in the oilpatch. Part of the AER's job is to process licence transfers. While it is true that parties sometimes structure transactions as share deals or, in the context of insolvency, use *CCAA* plans to avoid the hassle and expense of licence transfers that does not mean that avoidance of licence transfers is always necessary. If the Receiver claims that the burdens associated with licence transfers necessitate that this transaction use an RVO structure, those claims must be substantiated.

[23] To be clear, I am not saying that the Court requires sworn testimony from the Receiver. Rather, I mean that the Receiver's report should show that the Receiver has done the work to determine what the delays, risks, and costs associated with licence transfers are likely to be. For example, instead of asserting that there will be delays, costs, and risks associated with the licence transfers, the Receiver should specify what delays, costs, and risks are apprehended and why the Receiver believes those concerns to be genuine and material. Put differently, the Receiver must provide backup to justify its conclusion respecting the materiality of the risks, delays, and costs associated with the required licence transfers.

[24] I accept that it is possible that the cost of AER licence transfers may be material to the proposed transaction given that much of the deal consideration is comprised of assumed

liabilities that would otherwise be transferred to the Orphan Well Association ("OWA"). But for me to reach such a conclusion, the Receiver must provide an estimate of the costs associated with the AER licence transfers and a reasoned explanation why the estimated amount is material to the proposed transaction.

[25] The fact that the Purchaser requires that the proposed transaction proceed by way of an RVO does not move me. Purchasers always demand what is most favourable from their perspective. The Purchaser has agreed to acquire Cleo's assets for a substantial consideration which includes cash and assumed environmental liabilities. The Court must assume that the Purchaser will behave rationally. Under the circumstances, if an RVO is not available as a deal structure, the economically rational thing for the Purchaser to do is not to walk away but to negotiate a reduction of the purchase price by the amount that it estimates it will have to pay to effect the licence transfers. Perhaps there are other factors, such as tax, that might affect the price the Purchaser is prepared to pay but that is not clear from anything before the Court. The bottom line is that there is no cogent explanation offered by the Receiver as to what the financial impact is of using structures other than the proposed RVO. Assertions that the transaction must be an RVO are not enough to establish that it is necessary.

B. Is Any Stakeholder Worse Off Under the RVO Structure?

i. Viable Alternative?

[26] ***Harte Gold*** requires the Court to consider if any stakeholder is worse off under the RVO structure than they would have been under any other viable alternative. The Receiver submits that there are no viable alternatives to the proposed transaction. The Receiver says that the proposed transaction is the only bid received in the remarketing process that would not result in properties being transferred to the OWA. The Receiver further submits that "[a]ny proceeds derived from these hypothetical alternative transactions would not result in proceeds going to satisfy Alberta Energy's alleged cure costs. Instead, the proceeds would be paid to the OWA...."

[27] The Receiver's argument attacks a straw man. The viable alternative is not one of the seven rejected bids; it is a differently structured transaction with the successful bidder. As I noted before, the Court must assume that the Purchaser will act in an economically rational way. The viable alternative to the current RVO structure that absolves the Purchaser of responsibility for paying Alberta Energy cure costs is an RVO where the Purchaser is required to pay cure costs. That means that the Purchaser would take on a liability of $150,000 that it is not under the current structure. A rational economic actor would not walk away; it would reduce the purchase price by a corresponding amount. I note that even with a $150,000 reduction in purchase price, the Purchaser would still have the highest bid.

[28] Since I have found that the Receiver has not established that an RVO is necessary, it is appropriate to also consider if there is a non-RVO viable alternative. The difficulty with this is that the Receiver has constructed a binary choice between the proposed RVO and the seven unsuccessful bids. Given value that the Purchaser has offered under the proposed RVO structure, it is possible, that a restructured version of the transaction without using the RVO mechanism would still be preferable to the seven other bids. The failure of the Receiver to engage with this possibility leaves the Court unable to assess whether there is a non-RVO viable alternative.

ii. Crown Lease Cure Costs

[29] Cleo owes Alberta $170,000 in unpaid royalties and $70,000 in unpaid rent in respect of its Mineral Leases. Of the total $240,000 owing by Cleo to Alberta, $90,000 is post-filing debt which the Receiver has confirmed will be paid. The RVO contemplates that "Crown Liabilities," which is the $150,000 pre-filing debt for unpaid royalties and rent, will be vested in ResidualCo while the Mineral Leases will remain in Cleo. The RVO allows Cleo to retain the Mineral Leases without paying the arrears to Alberta.

[30] Most oil and gas rights in the province are owned by Alberta. From time to time, Alberta conducts public sale processes where oil and gas companies may bid for Crown oil and gas rights. After a sale, Alberta Energy will issue the successful bidder a petroleum and natural gas lease which is sometimes called a PNG Lease or Mineral Lease. A Mineral Lease grants the lessee the right to drill for, and recover, oil and gas within the leased area. A Mineral Lease does not grant mineral ownership to the lessee; Alberta remains the owner. In exchange, the lessee is required to pay royalties and rent to Alberta.

[31] Tracy Wadson, Alberta's Director, Royalty Operations swore an affidavit describing how Alberta Energy approaches the transfer of Mineral Leases in insolvency matters as follows:

> Upon sale of an insolvent's Mineral Leases (in an asset sale, not a share purchase arrangement), the receiver or trustee requests that Alberta Energy transfer those Mineral Leases to the name of the purchaser.
>
> Under s 18(2) of the [*Mines and Minerals*] Act [RSA 2000, c M-17], and, in particular, s 5(1)(g) of the *Crown Minerals Registration Regulation*, AR 264/1997 (the **Regulation**"), the Minister (through Alberta Energy) is authorized to refuse the transfer of a Crown agreement.
>
> Alberta Energy requires payment of cure costs (i.e. the Crown Liabilities – the monetary defaults under the Mineral Lease) before it will transfer Mineral Leases to the purchaser (the "**Transfer Requirement**").
>
> Alberta Energy routinely enforces the Transfer Requirement in insolvency asset transactions and, based on my experience, both industry and receivers/trustees are aware of the Transfer Requirement.

[32] Ms. Wadson's affidavit did not speak to Alberta Energy's approach when a debtor is restructured pursuant to a *CCAA* plan. She did, however, explain that Alberta Energy's standard approach when royalties and rent are not paid is to issue a Notice of Default as a first step toward cancelling the relevant Mineral Lease. Presumably this means that where a debtor retains Mineral Leases under a *CCAA* plan, Alberta Energy requires payment of royalty and rental arrears to maintain the Mineral Leases going forward.

[33] Cleo's Mineral Leases are what are sometimes called executory contracts because there are ongoing obligations: ***Kary Investment Corporation v. Tremblay***, 2005 ABCA 273 at paras 19-20. Receivers have the power to adopt or reject executory contracts: Frank Bennett, *Bennett on Receiverships*, 4th ed, (Toronto: Thomson Reuters, 2021) at 557-65; ***Spyglass Resources Corp v Bonavista Energy Corporation***, 2017 ABQB 504 at para 67. Executory contracts that are rejected give rise to claims that may be proved in the receivership process: ***Bellatrix Exploration Ltd (Re)***, 2021 ABCA 85 at para 44. Receivers adopt executory contracts when they help to maximize value for creditors. This occurs when the executory contract is advantageous or

essential to a restructuring business and will make the business more attractive to a potential purchaser. When a receiver adopts an executory contract, monetary defaults in respect the executory contract must be cured: Simard et al, "Restructuring and Insolvency Deals in the Oil Patch" at 373. Put differently, if a receiver decides to keep a contract, it must keep both the benefits and the burdens of the contract.

[34] The treatment of executory contracts in the *CCAA* context is similar. Where a debtor company is restructured and an executory contract is retained, the counterparty may demand payment of cure costs as a condition of ongoing performance. Where a *CCAA* plan calls for the assignment of an executory contract, *CCAA* s 11.3(4) precludes a court from making an assignment order "unless it is satisfied that all monetary defaults in relation to the agreement ... will be remedied on or before the day fixed by the Court."

[35] I must pause here to address the question of fairness. Is the payment of cure costs to Alberta Energy fair to the Purchaser and to creditors of Cleo? Yes, it is. The reason that the Purchaser is buying Cleo is because it has Crown oil and gas rights and, in turn, that is why consideration is flowing to creditors. The only reason that Cleo has oil and gas rights is because it has the Mineral Leases. There is nothing unfair about requiring the Purchaser to pay cure costs to maintain the Mineral Leases.

[36] The present application is the second time in the last two months before this Court where a restructuring entity sought to retain the benefit of an executory contract while absolving itself of the responsibility to remedy monetary defaults through the device of an RVO. In ***AlphaBow Energy Ltd (Re)***, 2025 ABKB 550, many months after the approval of an RVO, the applicant sought to amend the RVO to retain a contract with a third party for the purchase of carbon dioxide while shedding liabilities associated with the contract. Justice Johnston observed at para 52 that that the applicant had disclaimed the contract in the first instance because it hoped to negotiate a new contract that would avoid payment of cure costs. Justice Johnston declined to exercise her discretion to permit the amendment of the RVO to permit the applicant to retain the contract while shedding the associated liabilities.

[37] Though the Receiver did not provide any cases where courts have approved RVOs where the receiver or purchaser is not required to pay cure costs for retained contracts, I note that it has occurred: see, for example, ***Acerus Pharmaceuticals Corporation (Re)***, 2023 ONSC 3314 at para 31. The language used by Justice Penny in ***Acerus*** suggests, however, that parties whose contracts were retained in that case were allowed to choose to perform or terminate the contracts where cure costs are not paid. He explains at para 31 that the RVO "does not require FGC to cure pre-filing arrears under the Retained Contracts," and that such parties "have the opportunity to continue supplying goods and services to the applicants post-CCAA proceedings if they choose to do so." This is quite different than what is proposed in the present case. I also note that despite the precedent in ***Acerus***, RVOs continue to require the payment of cure costs: see, for example, ***Razor Energy Corp*** at para 60.

[38] I remain open to the possibility that there may be cases where an RVO that provides for the retaining contracts without a corresponding obligation to pay cure costs can be justified, but this is not one of them. The payment of cure costs to Alberta Energy is a reasonable price for the Purchaser to pay to get the ongoing value of the Mineral Leases and it will cause a justified decrease in the value to be received by the creditors of Cleo on their claims.

[39] The use of RVOs to allow contracts to be retained without payment of cure costs alters the incentive structure around insolvency. Moreover, allowing contracts to be retained without payment of cure costs is a curtailment of the principle of freedom of contract beyond what is normal in insolvency proceedings. These are matters that demand consideration by appellate courts and legislators.

iii. Potential Clawback of WEPP Payments

[40] Employment Canada appeared at the application to advise the Court of potential adverse consequences of the RVO for former employees. Employment Canada, however, maintained that it was not taking a position on the appropriateness of the RVO.

[41] Employment Canada advised the Court that pursuant to the *Wage Earner Protection Payment Act*, S.C. 2005, c. 47 ("*WEPPA*") former employees of Cleo who had received payments pursuant to WEPP could have their payments clawed back if the RVO is approved.

[42] *WEPPA* s 5 outlines the eligibility criteria for employees whose former employer is in receivership. The key requirements are that "the former employer is subject to a receivership" and that "the individual is owed eligible wages by the former employer."

[43] Employment Canada submits:

> Should the RVO be granted, the liabilities related to unpaid wages of the former employees of Cleo would be transferred to ResidualCo. Equally, Cleo would emerge from the receivership proceedings and continue to carry on its business operations as a viable corporation.
>
> Following the issuance of the RVO, the eligibility criteria under s. 5(1)(b)(ii) and 5(1)(c) of the WEPPA would no longer be met and, the objective of the WEPP would equally be undermined. As a result, this would likely affect the former employees' entitlement to WEPP benefits and lead to an overpayment of program benefits, which would be subject to recovery.

[44] Employment Canada further states that whether the conditions for eligibility are met is within the exclusive discretion of the Minister responsible for *WEPPA*, subject to an appeal before the Canada Industrial Relations Board, which, in turn, is subject to judicial review under the exclusive jurisdiction of the Federal Court of Appeal.

[45] Employment Canada's submission is, in essence, a warning that following the approval of the Cleo RVO, payments to former employees of Cleo may be clawed back followed by a warning that this Court has no say in the matter. I beg to differ. Justice Collier in ***Arrangement relatif à Former Gestion Inc***, 2024 QCCS 3645 at para 34 dispensed with a similar argument by Employment Canada as follows:

> [T]he relevant time for determining when WEPPA applies is the moment at which all an insolvent entity's employees are terminated due to a bankruptcy or restructuring. That is when the employee's entitlement to compensation arises and neither the Act nor the regulations indicate that circumstances arising after the termination are relevant.

[46] I agree. WEPP exists to protect employees from the adverse consequences of the insolvency of their employer. Terminated employees have no control over how insolvency and restructuring transactions are structured after their termination. Terminated employees who have

received WEPPs payment and have no inkling of the possibility of a clawback may have used the money to pay for groceries or rent. A choice to clawback payments made to terminated employees of an insolvent corporation because of subsequent events beyond their control would be to the immense discredit of the Minister and, I would hope, be swiftly reversed by the Canada Industrial Relations Board or the Federal Court of Appeal.

V. Conclusion

[47] The Receiver's application is dismissed without prejudice to its ability to apply again for approval of the proposed transaction with additional supporting material and/or for a restructured transaction.

Heard on the 17th day of October, 2025 with additional written submissions received on the 22nd and 24th of October.
Dated at the City of Calgary, Alberta this 28th day of October, 2025.



Colin C.J. Feasby
J.C.K.B.A.

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Ryan Zahara, MLT Aikins,

for the Orphan Well Association

Aaron Dow and Alexis Teasdale, Lawson Lundell LLP,
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